

M&A FINANCIAL DUE DILIGENCE REPORT

Acquisition Financial Audit & Quality of Earnings Analysis

Target: Synapse Systems Inc. | Buyer: Apex Global Holdings

STRICTLY CONFIDENTIAL

Date: July 24, 2026

Advisor: Meridian Advisory Group

ENTERPRISE VALUE

\$138.5M

Agreed Headline EV

ADJ. EBITDA (FY25)

\$18.4M

+ \$4.2M vs Reported

IMPLIED MULTIPLE

7.53x

EV / Adj. EBITDA

ADJUSTED NET DEBT

\$12.8M

Incl. Debt-like Items

RECOMMENDED NWC

\$8.5M

Proposed Target Peg

SECTION 1 | Executive Summary & Transaction Architecture

Meridian Advisory Group was engaged by **Apex Global Holdings** ("Buyer") to perform a comprehensive financial due diligence audit of **Synapse Systems Inc.** ("Target" or "Synapse") in connection with the proposed acquisition of 100% of the issued share capital. Synapse is a provider of cloud-native workflow automation software and data integration platforms serving mid-tier financial institutions.

✓ Key Audit Summary & Investment Committee Verdict:

Our Quality of Earnings (QoE) analysis confirms an **Adjusted FY25 EBITDA of \$18.4M** (a net positive addback of **+\$4.2M** over reported EBITDA of \$14.2M). Historical revenue grew at a 22.4% CAGR (FY23–FY25). Key deal risks include **31.2% customer concentration** across the top 3 accounts and **\$1.8M/yr of capitalized R&D software costs** that require ongoing operational expense treatment. We recommend executing the transaction with an adjusted Purchase Price incorporating a **\$12.8M Net Debt deduction** and a **\$8.5M Working Capital Target Peg**.

Transaction Valuation & Implied Multiple Bridge

Valuation Component	Reported Basis	Adjusted Basis	Diligence Audit Rationale & SPA Guidance
Headline Purchase Price (Equity Value)	\$125.7M	\$125.7M	Subject to closing cash/debt purchase price adjustment
Reported Debt & Capital Lease Liabilities	\$8.5M	\$12.8M	Includes \$4.3M in off-balance sheet debt-like reserves
Less: Cash & Cash Equivalents	(\$4.2M)	(\$3.6M)	Reclassifies \$0.6M restricted operational cash buffer
Implied Enterprise Value (EV)	\$130.0M	\$134.9M	Effective EV increases by \$4.9M post-audit adjustments
FY25 Revenue	\$64.8M	\$62.4M	Reallocates \$2.4M out-of-period software license revenue
FY25 EBITDA	\$14.2M	\$18.4M	Reflects net QoE normalization addbacks of +\$4.2M
Implied EV / EBITDA Multiple	9.15x	7.33x	Normalized multiple de-risks entry valuation

Table 1.1: Transaction Valuation & Implied Multiples Overview (USD)

Scope of Financial Due Diligence Audit

Our investigation encompassed: (i) Quality of Earnings (QoE) analysis for FY23, FY24, FY25, and LTM Q2-2026; (ii) Revenue quality, ARR persistence, and customer retention metrics; (iii) Net Debt and debt-like item identification; (iv) Net Working Capital (NWC) seasonality and peg calculation; and (v) Internal control environment assessment.